Module 8: Product Launch, Growth, and Monetization

Plan launches, design growth loops, run growth experiments, price and package, reduce churn and scale responsibly.



AUTHOR

Varun Kumar

Product Management Master Handbook
v0.1 · 05 November 2026
Built from the 55-lecture course study guide and extended to the 12-module Product Core curriculum.
Hypothetical examples are labelled; no real company results are invented.

Contents

8.1 Go-to-market planning and launch objectives 3
8.2 Positioning and market segmentation at launch 5
8.3 Beta testing and pilot launches 5
8.4 Product adoption 6
8.5 Growth funnels and growth loops 7
8.6 Growth experimentation 9
8.7 User acquisition 10
8.8 Lifecycle marketing 10
8.9 Product-led growth (PLG) 10
8.10 Retention strategies and referral mechanisms 11
8.11 Pricing, subscriptions and freemium 11
8.12 Conversion optimisation, cross-selling and upselling 12
8.13 Monetisation experiments 12
8.14 Churn reduction 13
8.15 Growth metrics 14
8.16 Case study from your course: ride-hailing surge pricing 14
8.17 Launch retrospectives and scaling 15
8.18 Practical launch plans 16
8.19 Product-market fit: definitions and how to measure it 18
8.20 MVP: learning at the lowest cost 20
8.21 Experimentation: causation, A/B design and biases 22
8.22 Scaling: expansion, distribution and early customers 23
8.23 Product-led growth in depth 25
8.24 Revenue models 28
8.25 Pricing models and tactics 29
8.26 Exercises with model answers 31
8.27 Interview perspective 32
8.28 Key takeaways 32
8.29 Check your understanding 33
8.30 Recommended resources 34

MODULE 8

Product Launch, Growth, and Monetization

Plan launches, design growth loops, run growth experiments, price and package, reduce churn and scale responsibly.

≈ 10 h study

About the numbers

All growth, pricing and churn figures are **hypothetical** and chosen for clear arithmetic. They are not benchmarks for any industry or company.

8.1 Go-to-market planning and launch objectives

Go-to-market (GTM) coordinates how the right users discover, adopt and get support for a product: audience, positioning, pricing, channels, sales and support readiness, timing and measurement (Module 2 covers the strategy). A **launch** is one event within GTM — *not the end of product work.*

From your course notes (Lecture 23; Extra topic 10)

Start with the **business case and timing**, define the **audience and proposition**, choose **pricing and explain the rationale**, plan **distribution and launch support**, set measurable success metrics and **adjust the roadmap using feedback after launch.** Pilot an early feature with a small group, train support, prepare a help article, monitor completion, confusion and complaints; **if accuracy fails, pause or roll back; expand only after the team reviews results.** Assign owners for product, engineering, support, analytics, operations and communications; distinguish an internal pilot from a public launch; name a rollback owner. In the cricket-equipment exercise, the instructor pushed learners to consider **partner incentives, sponsorship costs and likely return — not just list channels.**

Launch objectives should be outcome-based and time-bound:

Weak objective	Strong objective
“Launch the subscription”	“Reach 2,000 paying subscribers in 60 days at CAC ≤ ₹600 with refund rate < 3%”
“Get press coverage”	“Drive 15,000 qualified visits from launch content; 8% start a trial”
“Make users happy”	“Activation (first plan created) ≥ 45% within 7 days; CSAT ≥ 4.2/5”

8.1.1 Launch tiers

Not every release deserves a big launch. Tier them:

Tier	What	Example	Effort
Tier 1	New product or major capability; market-facing	New credit card; paid plan	Full GTM: PR, sales enablement, campaigns, support training
Tier 2	Significant feature for existing users	Early fee display; new integrations	In-app announcement, help docs, email to relevant segment
Tier 3	Improvements and fixes	UI polish; performance	Release notes

8.1.2 Product launch checklist

PRODUCT & QUALITY

- Acceptance criteria met; QA/UAT signed off
- Accessibility check
- Performance and load test
- Feature flag + kill switch
- Rollback plan and owner

DATA & MEASUREMENT

- Success metrics and guardrails defined
- Events tracked and validated in staging
- Dashboard ready; alert thresholds set
- Experiment plan (if A/B)

RISK & COMPLIANCE

- Security review
- Privacy / consent review
- Legal review of claims and terms
- Fraud and abuse checks

GO-TO-MARKET

- Positioning and messaging
- Pricing page / plan changes
- Launch channels and calendar
- Sales enablement deck & FAQs

SUPPORT & OPERATIONS

- Help articles
- Support macros & training
- Escalation path
- Ops capacity (e.g., verification queue)

AFTER LAUNCH

- Daily monitoring during ramp
- Feedback collection
- Retrospective scheduled
- Decision date: expand / iterate / roll back

Launch checklist (reusable). Adapt by launch tier. The template version is in the Templates library.

8.2 Positioning and market segmentation at launch

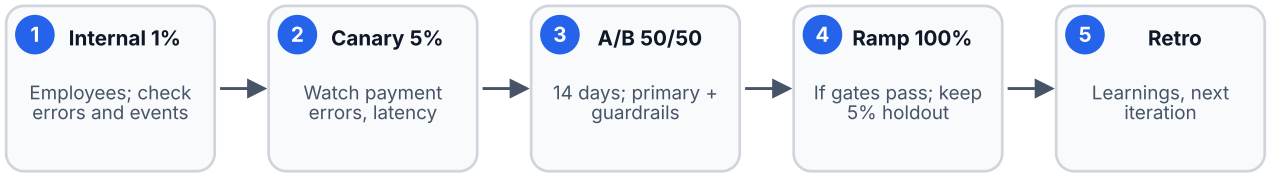
Re-use Module 2's positioning statement and choose a **beachhead segment**: a narrow group with acute need, reachable cheaply, whose success creates references for the next segment. Messaging should lead with the job and outcome (“Know your total before you pay”), not the feature (“Fee breakdown component”).

8.3 Beta testing and pilot launches

- **Alpha:** internal or very small trusted group; find major bugs.
- **Closed beta:** invited external users; usability, value and reliability; often with feedback channels and NDAs.
- **Open beta:** anyone can join; scale and edge cases.
- **Pilot:** a real launch in a constrained scope (one city, one customer, 5% of traffic) with success criteria and a go/no-go decision.

- **Staged rollout / canary:** gradually increase exposure (1% → 5% → 25% → 100%) while watching guardrails.

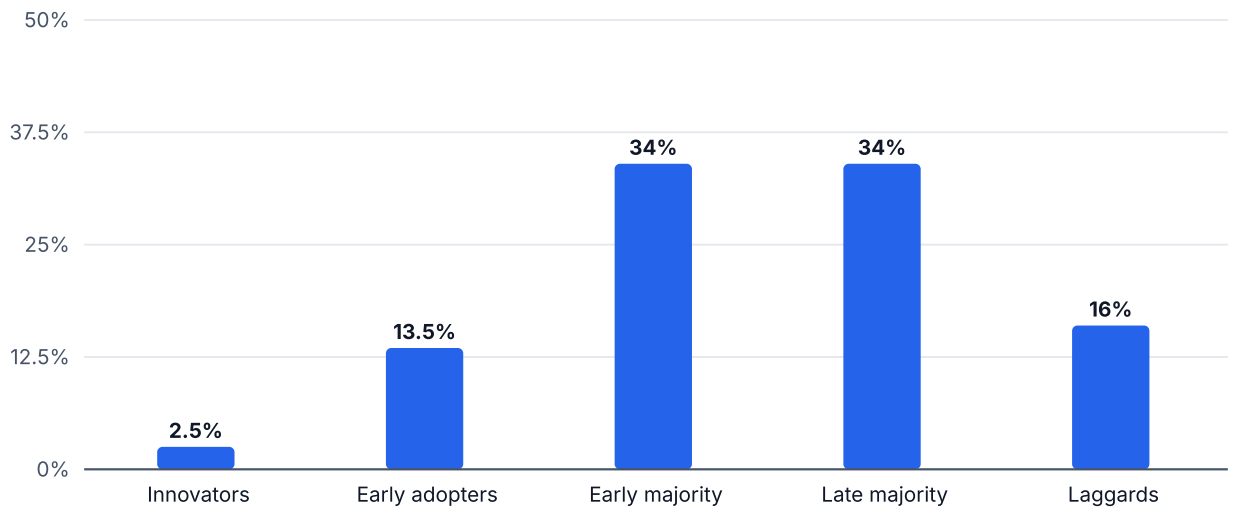
> **From your course notes (Lecture 27)**
>
> **A/B testing is different from alpha and beta release testing:** alpha/beta reveal problems and gather feedback; A/B testing compares variants against a defined outcome with random assignment.



Staged rollout with gates (hypothetical). Each arrow is a gate with explicit criteria (e.g., error rate < 0.5%, no rise in complaints). Anyone on the team can pull the kill switch.

8.4 Product adoption

Everett Rogers' **diffusion of innovations** model segments adopters by timing: **innovators (2.5%), early adopters (13.5%), early majority (34%), late majority (34%), laggards (16%).** Geoffrey Moore's *Crossing the Chasm* argues the jump from early adopters to the early majority is the hardest because the majority wants proven, complete solutions and references.

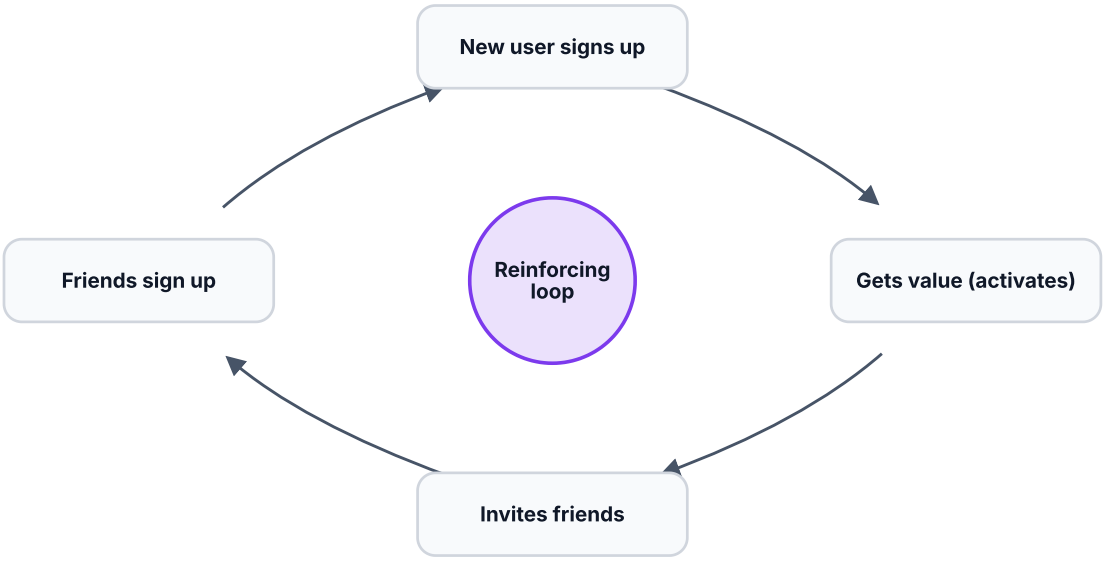


Diffusion of innovations — adopter categories (Rogers' model). Rogers' model proportions (based on a normal distribution of adoption time), not measured data for any product. Use it to plan messaging and proof needed at each stage.

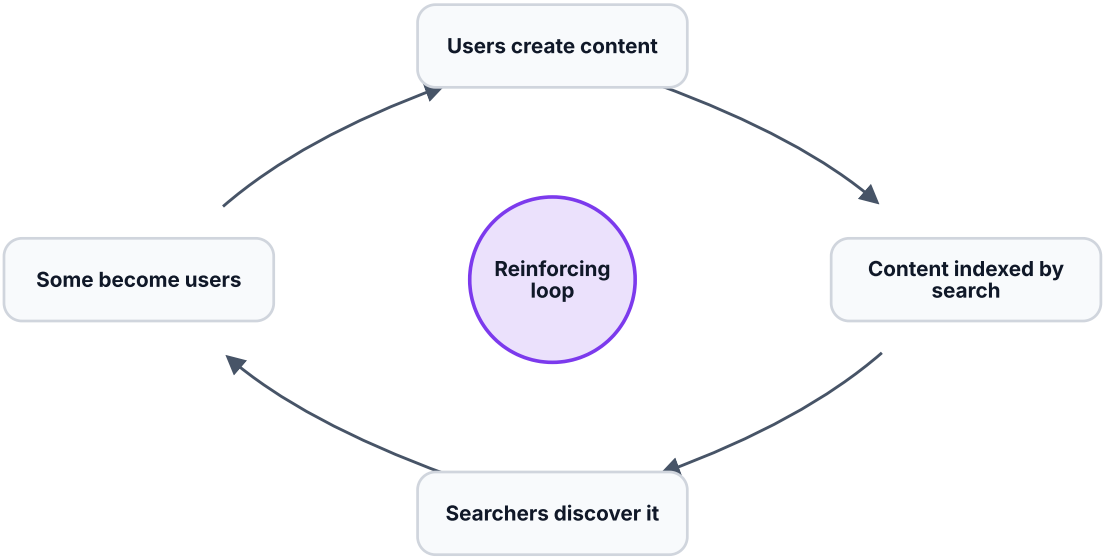
Adoption metrics: activation rate, time-to-value, feature adoption rate (users of feature ÷ eligible users), depth (frequency of use), breadth (number of features used), accounts with ≥ N active seats (B2B).

8.5 Growth funnels and growth loops

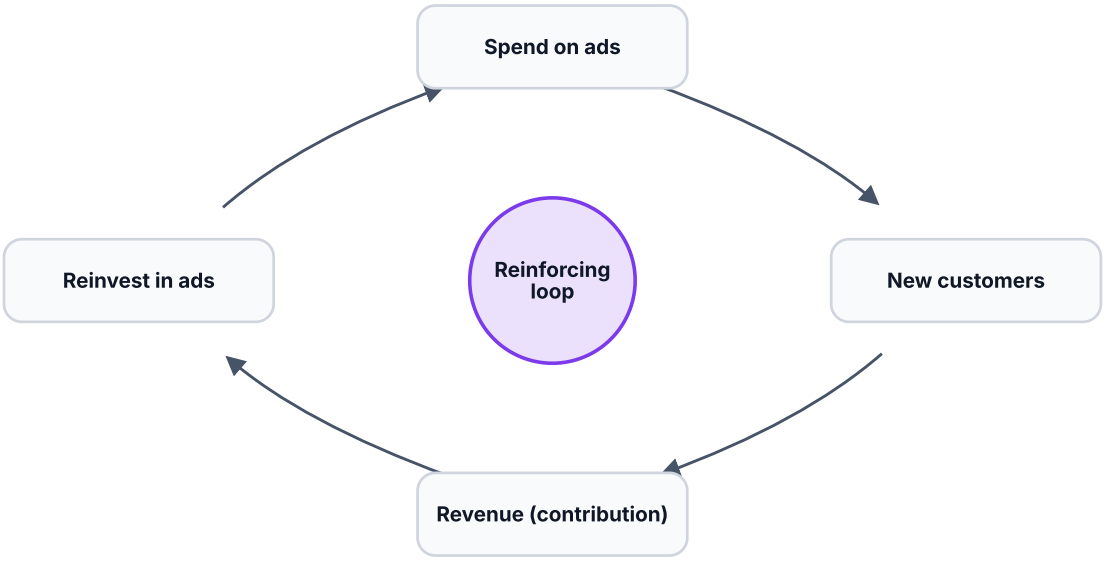
A **funnel** is linear (acquire → activate → retain → monetise → refer). A **growth loop** is circular: the output of one cycle becomes input to the next, so growth compounds.



Viral (referral) loop. The loop compounds only if enough invited people sign up and activate. Quality of value at step 2 drives everything after it.



Content / SEO loop (user-generated content). Typical of review sites and community Q&A. Content quality and moderation are the guardrails — spam breaks the loop and trust.



Paid acquisition loop. Works only if contribution margin per customer exceeds CAC within an acceptable payback period (Module 7).

8.5.1 Viral coefficient (K-factor)

```
K = invites sent per user × conversion rate of invites
Total users from an initial cohort N (K < 1)  ≈  N ÷ (1 - K)
```

Worked example

Each new user sends 3 invites; 10% of invites convert → **K = 0.3**. From 1,000 seed users: 1,000 + 300 + 90 + 27 + … ≈ 1,000 ÷ (1 − 0.3) = **≈ 1,429 users**. Virality *amplifies* other channels rather than replacing them unless K > 1, which is rare and usually temporary. **Cycle time** matters as much as K: a loop that turns weekly compounds far faster than one that turns quarterly.

8.6 Growth experimentation

Growth teams run a **pipeline** of experiments: generate ideas from funnel data and research → prioritise (ICE) → design (hypothesis, metric, guardrails, sample size) → run → analyse → document → next. Keep a public **experiment log** with results, including failures.

Good growth experiments are tied to a funnel step, have a single primary metric, enough traffic for the effect size (Module 7), and guardrails that protect users.

8.7 User acquisition

Channel	Strengths	Weaknesses	Watch metric
Organic search / content	Compounding, low marginal cost	Slow to build	Organic sign-ups, rankings
App-store optimisation	Captures intent	Competitive; algorithms change	Store conversion rate
Paid social / search	Fast, targetable	Costly; can attract low-intent users	CAC, payback, retention by channel
Referral	High trust, low CAC	Depends on product love	K-factor, referred retention
Partnerships	Access to trusted audiences	Incentive alignment, dependency	Partner-sourced activation
Sales (B2B)	Large contracts	Expensive, slow	Win rate, sales cycle, ACV
Community / events	Loyalty, feedback	Hard to scale	Engagement, referrals

Compare channels on quality, not volume: activation, 30/90-day retention, contribution and payback — not just installs.

8.8 Lifecycle marketing

Messages (email, push, in-app, SMS) timed to the user's stage: **onboarding** (help reach first value), **engagement** (habit-building tips, relevant content), **expansion** (upgrade when they hit limits), **win-back** (lapsed users with a reason to return). Respect consent and frequency caps; measure incrementality with holdout groups — many “opens” would have happened anyway.

8.9 Product-led growth (PLG)

PLG makes the product the main driver of acquisition, conversion and expansion: self-serve sign-up, fast time-to-value, a free tier or trial, in-product upgrade prompts at **moments of value or limits**, and natural virality (sharing, collaboration). The PM's levers: **activation design**, **usage limits** that align with value, **pricing page clarity**, **product-qualified leads (PQLs)** for sales-assist.



PLG funnel for a team SaaS tool (hypothetical). Conversion prompts work best at moments of demonstrated value (a limit reached because the team relies on it), not at random times.

8.10 Retention strategies and referral mechanisms

Retention strategies: improve activation (the biggest lever for most products); build habits around a real recurring need; deliver ongoing value (new content, personalisation); reduce friction (saved preferences, reorder); proactive support; win-back flows; loyalty programmes that reward genuine value (not just discounts).

Referral mechanisms: double-sided rewards (both get value), referral at moments of delight (after a successful delivery), easy sharing, fraud controls (self-referral, fake accounts), and measuring *referred users' retention*, not just referral counts.

8.11 Pricing, subscriptions and freemium

From your course notes (Lecture 26; Extra topic 5)

Pricing is how much and on what terms; monetisation is the broader way a product earns revenue. Consider value, costs, competition and willingness to pay — not cost alone. Models include subscription, freemium, advertising, affiliate, usage-based, licensing and transaction fees, and they can be combined. **A paid user is not automatically a happy user** — watch activation, repeat use, revenue, refund requests and fairness together. A free trial should disclose when payment begins and how to cancel.

8.11.1 Freemium vs premium (economics)

Worked example — is the free tier paying for itself?

100,000 free monthly active users; 3% convert to paid → **3,000 subscribers × ₹299 = ₹8,97,000/month** revenue. Serving costs: free users ₹2/month each → ₹2,00,000; paid users ₹20/month each → ₹60,000. **Contribution before acquisition:** ₹8,97,000 − ₹2,60,000 = **₹6,37,000/month.** If conversion fell to 1.5%, revenue halves to ₹4,48,500 and contribution drops to ₹4,48,500 − (₹2,00,000 + ₹30,000) = **₹2,18,500.** The PM's job: find the free/paid boundary where free users experience real value *and* paying users clearly get more.

8.11.2 Pricing psychology and packaging (use ethically)

- **Good–better–best tiers** with a clear "most popular" anchor.
- **Value metric:** charge on the unit that tracks customer value (seats, projects, transactions).
- **Annual discounts** improve cash flow and retention.
- **Avoid dark patterns:** hidden fees, forced continuity without notice, hard-to-cancel flows — they damage trust and may be illegal in some places.

8.12 Conversion optimisation, cross-selling and upselling

- **Conversion optimisation (CRO):** identify the leakiest step (Module 7 funnels), research why, test fixes. Typical checkout fixes: show total early, fewer fields, guest checkout, trust signals, saved payment methods, clear errors.
- **Upsell:** move a customer to a higher tier (more value). **Cross-sell:** add a related product (e.g., add-on dessert, insurance with a card). Make offers *relevant* and *timely*; measure attach rate, AOV, refunds and complaints.

From your course notes (Lecture 31)

In the quick-commerce AOV case, ideas included cart recommendations, transparent discounts on near-expiry items, bundles, thresholds and loyalty rewards — **assess whether each genuinely helps customers rather than encouraging unwanted spending.** Higher AOV alone does not prove better profitability or experience.

8.13 Monetisation experiments

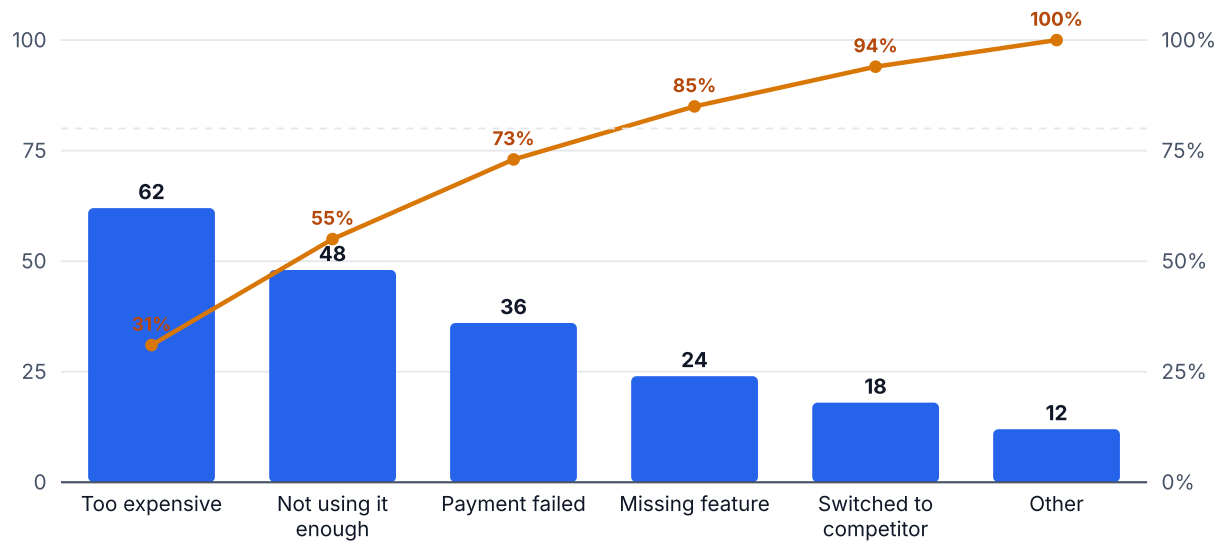
Price tests, packaging tests, paywall placement, trial length, discount offers. **Special care:** price tests can feel unfair if customers see different prices — consider testing on *new* users or by geography, or

test packaging rather than price; check local laws; measure long-term retention and refunds, not just conversion.

> **Example (hypothetical) — trial length**
>
> 7-day vs 14-day trial for a SaaS tool, randomised by new sign-up. Primary metric: paid conversion at day 30; guardrails: refund rate, day-60 retention. Result interpretation must wait until day 60 for the 14-day arm — define the analysis window in advance.

8.14 Churn reduction

- **Voluntary churn:** customer chooses to leave (value, price, competitor, need ended). Tools: exit surveys + interviews, save offers that address the reason (pause, downgrade), product fixes for top reasons.
- **Involuntary churn:** payment failures (expired cards, insufficient funds). Tools: **dunning** (smart retries, reminders, card-updater services), grace periods.



Reasons for cancellation (hypothetical exit-survey, 200 responses). Hypothetical. "Payment failed" is involuntary churn — often the cheapest to fix with dunning. "Not using it enough" points back to activation and habit.

8.15 Growth metrics

```
Net revenue retention (NRR) = (Start MRR + expansion - contraction - churned MRR) ÷ Start MRR
Gross revenue retention (GRR) = (Start MRR - contraction - churned MRR) ÷ Start MRR
SaaS quick ratio = (new MRR + expansion MRR + reactivation MRR) ÷ (churned MRR + contraction MRR)
```

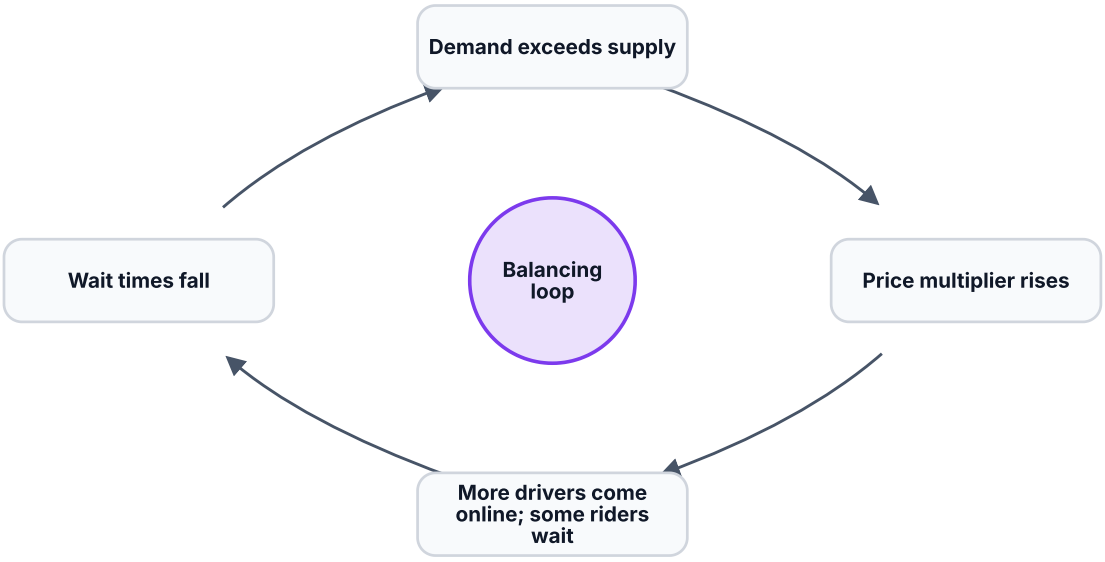
Worked example

Start MRR ₹100 lakh; expansion ₹12 lakh; contraction ₹3 lakh; churned ₹5 lakh; new ₹15 lakh; reactivation ₹1 lakh. **NRR** = (100 + 12 − 3 − 5) ÷ 100 = **104%** — existing customers grew revenue even after churn. **GRR** = (100 − 3 − 5) ÷ 100 = **92%. Quick ratio** = (15 + 12 + 1) ÷ (5 + 3) = 28 ÷ 8 = **3.5** — revenue added is 3.5× revenue lost.

8.16 Case study from your course: ride-hailing surge pricing

From your course notes (Lecture 15)

Design hypothetical surge-pricing logic with an AI component. A useful goal balances **availability, driver earnings, affordability and trust.** Groups considered drivers, requests, location, time, weather, festivals and events; distinguish the ordinary fare from a temporary surcharge; make assumptions explicit. Ideas: use historical demand and weather to anticipate busy periods, alert customers and help drivers move toward demand. **Test price changes with guardrails**: measure ride completion, cancellations, driver earnings, affordability and trust; price caps and local rules may matter. *A participant's idea of charging more based on low phone battery or repeat booking behaviour is an unverified proposal — exploiting urgency or personal data undermines trust and raises privacy, fairness and legal concerns.*



Surge pricing as a balancing loop (conceptual). Conceptual. The loop rebalances supply and demand, but each turn has a trust cost. Guardrails: cap multipliers, show the fare before booking, monitor cancellations and complaints.

8.17 Launch retrospectives and scaling

Retrospective (blameless): goals vs results (with data), what went well, what didn't, surprises, decisions to keep/change, owners and dates. Hold it 2–4 weeks after launch and publish it.

Scaling a product: (1) prove retention in the beachhead before expanding; (2) industrialise operations (support, onboarding, fraud); (3) harden reliability and observability (Module 9); (4) localise (language, payments, regulation); (5) expand segments and channels one at a time; (6) protect unit economics as you grow.

> **From your course notes (Extra topic 13)**
>
> An incident is an event that disrupts a service or harms users. Define alert thresholds and owners before release; track failed orders and recovery; maintain an incident timeline; follow up with actionable prevention items. **Never assume an incident is over merely because the dashboard looks better for a few minutes.**

8.18 Practical launch plans

8.18.1 Fintech: launching a digital credit card application (hypothetical)

Phase	Key activities	Gate criteria
Readiness	Regulatory and compliance approvals; KYC vendor integration; credit-risk policy; fraud rules; disclosures and consent copy reviewed	Compliance sign-off; security and privacy review complete
Employee pilot	Staff apply with real KYC; manual review of every decision	No critical defects; approval decisions match policy
Limited pilot	2% of eligible traffic; staged by region; human review of edge cases	Completion ≥ target; fraud rate within limit; complaint rate stable
Scale	Increase traffic weekly; marketing campaigns; partner channels	Unit economics within plan; ops queue SLA met
Optimise	A/B test document-upload UX, pre-fill, status tracking	Experiments show completion lift without risk increase

Phase	Key activities	Gate criteria
Metrics: application start → submit → approve → activate (first transaction); time to decision; drop-off by step; fraud rate; cost per approved account; complaints. **Guardrails:** credit losses, fraud, regulatory breaches.		

8.18.2 B2B SaaS: launching a paid tier (hypothetical)

Phase	Activities
Beta	20 design-partner accounts; usage telemetry; weekly feedback calls; pricing interviews
Pricing	Value metric choice (seats vs projects); good–better–best tiers; pricing page test
GA launch	Docs and help centre; in-app upgrade prompts at limits; sales enablement for large accounts; webinar
Post-launch	Conversion funnel by plan; expansion; churn reasons; NRR tracking
Metrics: trial → paid conversion, time-to-value, PQL → won rate, expansion MRR, NRR, support tickets per account.	

8.18.3 Consumer app: launching in a new city (hypothetical)

Phase	Activities
Pre-launch	Supply onboarding (restaurants, couriers) to minimum density; localisation; payment methods
Soft launch	Invite-only waitlist; referral codes; monitor delivery times and cancellations
Public launch	Local partnerships, app-store optimisation, targeted ads with CAC caps
Scale	Expand zones only where wait times and contribution meet targets
Metrics: first-order conversion, repeat within 14 days, delivery time, cancellation rate, contribution per order, CAC payback. **Guardrails:** rider/courier earnings, complaints, safety incidents.	

8.19 Product-market fit: definitions and how to measure it

From your class deck (Week 8 · Product Launch, Growth and Monetisation)

The deck compares four well-known ideas of product-market fit (PMF): a compelling value hypothesis for a cohort that truly values it; building something people want (a "deep well" of users who badly have the problem); a problem worth solving plus a solution that solves it well enough; and users who love it so much they tell others. It measures PMF with retention, referral and revenue signals, and shows the "how would you feel if you could no longer use it?" survey with a 40% benchmark.

View	Core idea	What to check
Value hypothesis	A specific group of customers values what you offer	Can you name the group and what they would pay or switch for?
Build what people want	Look for a small group with a deep, urgent problem	Are a few people extremely happy, or many mildly interested?
Problem-market fit, then problem-solution fit	First prove the problem matters, then that your solution works	Which of the two are you testing right now?
Love and word of mouth	Users recommend it without being paid to	Organic referrals, waitlists, unprompted praise

Why growth alone is a weak signal: paid growth can hide poor retention. Investors and teams who dig into retention numbers soon see whether the product really fits.

8.19.1 Measuring PMF

Signal	Evidence of fit	Warning sign
Retention	Curves flatten for at least one cohort	Curve slides to zero
Referral	High NPS, organic invites, viral coefficient near or above 1, a waiting list	All growth is paid
Revenue	Strong free-to-paid conversion, revenue growing without heavy discounts	Heavy discounting to close
Survey	At least 40% say they would be "very disappointed" without the product	Most say "somewhat disappointed" or "not disappointed"

8.19.2 A process for improving PMF (the "supporter segmentation" approach)

1. **Segment the "very disappointed" supporters** and find what they have in common (role, use case, industry). Describe the ideal high-expectation customer.

2. **Read feedback from the on-the-fence group** to learn what stops them from becoming supporters.
3. **Build a roadmap in two halves:** deepen what supporters already love, and fix what the on-the-fence users miss. Use simple cost-benefit scoring.
4. **Repeat each quarter** and treat the PMF score as a headline metric. One widely cited example reported lifting the supporter share from about 22% to about 58% with this loop.

> **Do not treat 40% as a law**
>
> The 40% line is a rule of thumb from one survey method. Use it with retention and revenue evidence, and with enough responses (at least 40 to 100 from active users).

8.20 MVP: learning at the lowest cost

> **From your class deck (Week 8)**
>
> An MVP is the version that gets the most learning for the least effort. It is not a low-quality product and not just a list of the cheapest features. The deck contrasts building a final product in one go with building parts that validate hypotheses on the way, and shows how to define an MVP by listing and prioritising hypotheses and choosing inexpensive tests.

8.20.1 How to define an MVP in four steps

1. **List the hypotheses** that must be true: problem-market fit (is this a real, frequent problem?) and problem-solution fit (will this solution work and be used?).
2. **Prioritise** the riskiest, most important hypotheses first.
3. **Choose the cheapest test for each:** existing data, user research, a landing page, a concierge or manual service, a wizard-of-oz prototype, an AI-built prototype, or a small cohort release.
4. **Ship, measure, decide:** set the success metric and threshold before you start, then continue, change or stop.

Test type	Cost	Strength of evidence
Existing data or desk research	Very low	Weak to medium
Interviews and surveys	Low	Medium (people say, not do)
Landing page or fake door	Low	Medium to strong (real behaviour)
Manual or concierge version	Medium	Strong
Coded prototype to a small cohort	Higher	Strongest

Worked example · an AI dish recommender for a food-delivery app (hypothetical)

Idea: suggest what to order for users who cannot decide.

Hypothesis	Cheapest test	Success metric
Many users struggle to choose	Look at time from open to order and abandoned sessions; add a small "Can't decide?" prompt and count taps	Share of users tapping the prompt
Users will accept outside suggestions	Show "top 5 ordered nearby" and an LLM chat suggestion	Acceptance rate of suggestions
Users will like personalised picks	Run a model only for heavy users (50+ orders) at dinner time	Share who accept and then order
Start with the narrowest cohort where the model is likely to work, then widen.		

Common MVP mistakes

Calling a broken product an MVP; building many features instead of one riskiest test; no success threshold; ignoring that the cost of building has fallen with AI tools, which makes smaller, faster tests possible.

8.21 Experimentation: causation, A/B design and biases

> **From your class deck (Week 8)**
>
> Correlation can mislead (ice-cream sales and sunstroke both rise in summer). A/B experiments apply randomised controlled testing to establish cause and effect. Steps: form a hypothesis (population, treatment, outcome metric), decide sample size, create random groups, run the test. The deck adds bias warnings, a sanity (A/A) test, and a four-part experimentation framework: define hypotheses, define the minimum viable test, prioritise tests, analyse results.

Step	What to do	Watch out for
Hypothesis	"For [population], changing [treatment] will change [outcome metric] because [reason]"	Keep the treatment minimal so you know what caused the change
Sample size	Larger when the expected effect is small, the metric is noisy, or you want stricter confidence (p-value 0.05 is common)	Stopping early when the number looks good
Random groups	Assign users by chance and keep the groups comparable	Sample not representative (one city), allocation depending on earlier behaviour, treated and control users interacting in a social product
Run	Run long enough to cover weekly cycles	Seasonality, novelty effects
Guardrails	Watch metrics that must not get worse (latency, complaints, refunds)	Winning the primary metric but hurting trust

Sanity (A/A) test: show two groups the same experience, or change something irrelevant such as a settings page, and check that outcome metrics do not move significantly. It proves the setup is sound before the real test.

How to need fewer users: test a larger change, choose a more sensitive leading metric, narrow the population to a segment with high variance explained, or use more precise methods such as CUPED where your data team supports them.

Worked example · discount for new restaurants (hypothetical)

Hypothesis: new-restaurant discount codes will raise 30-day orders per user among users who ordered in the past 60 days. *Population:* eligible active users in two cities. *Treatment:* a Rs 75 discount on the first order from a restaurant listed in the last 30 days. *Outcome:* orders per user; guardrails: average order value, contribution margin, repeat orders from regular restaurants (cannibalisation). *Biases to avoid:* only testing in one city, assigning the offer to users who browsed new restaurants (self-selection), and group contamination through referral codes.

8.21.1 Experimentation framework for a team

1. Write well-structured hypotheses around key problems.
2. Turn each into a **minimum viable test** (the smallest valid experiment).
3. **Prioritise** tests by impact, confidence and effort; keep a backlog.
4. **Analyse and archive** results so learning compounds, including failed tests.

8.22 Scaling: expansion, distribution and early customers

From your class deck (Week 8)

The deck presents a product-market expansion grid, a map of distribution channels (direct, ecosystem, partnerships) and playbooks for acquiring early customers for consumer and business products.

8.22.1 Product and market expansion grid

	Existing market / customers	**New market / customers**
Existing product	Deepen: grow share, usage and frequency (lowest risk)	Expand: adjacent geographies, segments, languages
New product	Add product lines for current customers	Diversify (highest risk)

Choose moves that use your **strategic assets**: brand, technology, data, customer base, operations, team.

Worked example · an online retailer's expansion path

First books for existing online shoppers (current product, current customers) → more categories after perfecting operations (adjacent customers) → an open seller marketplace (new product, adjacent customers) → renting out its own cloud infrastructure (new product, new customers). Each step reused a strength: logistics, customer base, then engineering scale.

Worked example · a social network's expansion path

One university first, then other universities, then schools and workplaces (adjacent markets that were easy to seed), then the general public. Later it added groups, messaging and a marketplace to deepen engagement before an enterprise version.

8.22.2 Distribution channels

Type	How it works	Examples
Direct	You control sales and delivery	Self-serve website or app, company sales team for enterprises, direct-to-consumer stores
Ecosystem	Others bring customers to you	App stores and marketplaces, resellers and system integrators, affiliates and influencers
Partnerships	Your product is built into someone else's	Pre-installed apps (OEM), API partners (a maps API inside a delivery app), telecom bundles (a video subscription inside a data plan)

Pick channels by customer behaviour, deal size and cost to serve: low-price products need low-touch channels; high-price products can afford sales teams.

8.22.3 Acquiring the first customers

	Consumer products	Business (B2B) products
Start with	Friends, communities, niche forums, a launch on product-hunt-style sites, creators	Founder-led outreach, warm introductions, design partners
Offer	Early-access invite, waitlist, referral perks	Free pilot with success criteria, discounted founding-customer plan
Learn	Cohort retention, qualitative feedback	Time to first value, security and procurement blockers
Do not	Spend heavily on ads before retention is proven	Customise endlessly for one customer

---

8.23 Product-led growth in depth

> **From your class deck (Week 8)**
>
> PLG means self-serve entry, fast time to value, growth through loops and sales that assists later. It changes how sales, marketing, customer success and operations work, and its advantages include efficiency, a stronger growth engine, lower acquisition cost and quicker time to value. The deck distinguishes viral, user-generated-content and hook loops, and shows how loops combine into a flywheel.

8.23.1 PLG across the company

Function	What changes
Sales	Focuses on **product-qualified leads (PQLs)**: accounts that hit usage thresholds (for example a team nearing its free limit)
Marketing	Uses user-generated content, in-product communities, branded shareable output, viral content
Customer success and support	Mostly self-serve help; proactive messages at moments of confusion or risk
Operations	Product usage data drives operations, for example order data helping a delivery service promise short delivery times

8.23.2 Why teams choose PLG

- **Organisational efficiency:** every function works through the product, which forces alignment (a famous messaging app served hundreds of millions of users with a very small team, mostly engineers).
- **Stronger growth engine:** a siloed funnel leaks; a sales promise the product cannot keep leads to churn.
- **Lower CAC:** the product sells and onboards, so acquisition cost drops.
- **Faster time to value:** tailored onboarding gets users to the "aha" quickly.

8.23.3 Growth loops

A **loop** is a closed system: an input goes through steps, produces an output, and that output feeds the next input. Loops compound; funnels do not.

Loop	How it works	Example
Viral / referral	Users invite others inside the product; the invitee becomes a user who invites more	Referral bonus on both sides; "invite your contacts" prompts
User-generated content (UGC)	Users create content that search or social shares bring new visitors to	Reviews, posts, templates, public profiles
Retention (hook) loop	Trigger → action → variable reward → investment	Feed: open, scroll, find something interesting, like and follow, which tunes the feed
Paid loop	Revenue funds acquisition that brings more revenue	Works only if payback is short

8.23.4 Growth flywheel

A **flywheel** stacks several loops so momentum builds. Example for a marketplace: better customer experience → more customers → more sellers → more choice → better experience; and a second loop: more customers → lower unit cost → lower prices → better experience → more customers.

Worked example · PLG ideas for a food-delivery product (hypothetical)

- **Viral loop:** group ordering with split payment, where each invited friend becomes a user.
- **UGC loop:** dish photos and reviews that surface in search.
- **Hook loop:** a weekly "tonight's picks" notification, with taps tuning future picks.
- **Cross-functional:** support uses live order data to message customers before they complain; operations uses demand data to staff kitchens and riders.
- **Metrics:** invites per user, invite acceptance, k-factor, time to first order, repeat rate.

8.24 Revenue models

> **From your class deck (Week 8)**
>
> A **revenue model** describes how money flows from customers to the business; a **pricing model** describes how much to charge. A product can have several of each, one per user type. The deck covers transaction, subscription and advertising models, plus data and API, donations and the razor-and-blades model.

Family	Variants	Works well when	Example
Transaction	Direct sale; fee or commission	Purchases are infrequent or high value	Phones, marketplaces, accommodation platforms
Subscription	Fixed tier; variable (usage-based); freemium	Value is recurring	Streaming tiers; cloud pay-as-you-go; productivity suites
Advertising	CPM (per 1,000 impressions), CPC (per click), CPA (per action)	Very high volume of attention	Search, video and social platforms
Data and API	Data licensing; API access fees	You own valuable data or a capability	Financial data providers; maps and messaging APIs
Donations or crowdfunding	Voluntary support	Open-source and non-profit	Encyclopaedias, open-source projects
Razor and blades	Cheap device, profitable consumable	Repeat consumables	Printers and ink
Hybrid	Mix of the above	Different users value different things	Marketplace: commission + ads + subscription for sellers

How to choose: (1) define the value for each customer group and whether they would pay; (2) understand usage patterns: one-time, regular, irregular; (3) pick the model that fits the pattern and supports the strategy; (4) test it with a small group before committing.

Worked example · revenue models for a navigation product (hypothetical)

User	Model	Why
Consumers	Advertising (in maps and search)	Frequent, high-volume use; their data also improves the product
Local businesses	Freemium subscription	Value shows quickly in a free tier; premium tools for visibility
Vehicle makers	Licence or subscription	One-time integration deals, recurring features
Developers	Usage-based API pricing with a free tier	Cost scales with calls; free tier drives adoption

8.25 Pricing models and tactics

From your class deck (Week 8, appendix)

The deck groups pricing models into value-based, cost-based, competitive, psychological and dynamic pricing, plus pay-what-you-want.

Model	Idea	Variants and examples	Use when
Value-based	Price from perceived value and willingness to pay	**Premium** (signal quality), **skimming** (high at launch, then lower), **good-better-best** tiers, **value-added** extras (seat choice, priority support)	Differentiated or specialised products
Cost-based	Cost plus markup	**Full-cost** (all costs, unit profit) vs **direct-cost** (variable only, profit at scale)	High-volume, price-sensitive goods; ignores willingness to pay
Competitive	Based on rivals	**Penetration** (low entry price or first-order discount), **parity** (match rivals), **loss leader** (sell below cost to win other purchases)	New entrants, crowded markets; avoid prolonged predatory use
Psychological	Shape perception	**Charm** (99 instead of 100), **anchor** (high-priced option makes others look fair), **decoy** (a weaker option that makes another look better), **bundle**	Retail and subscriptions; avoid gimmicks
Dynamic	Prices move with conditions	**Surge** (demand and supply), personalised pricing (ethical and legal risks)	Limited inventory, lopsided demand
Pay what you want	Customer chooses	Tips and fan support; donation-style models	Creators, non-profits, secondary revenue

Ethics and trust

Personalised pricing based on device or personal traits can feel unfair and may breach consumer rules. Dynamic pricing needs transparency (show why), caps in emergencies, and regular review of effects on loyalty.

Worked example · choosing price tiers (hypothetical)

A note-taking app offers Free, Pro (Rs 199 a month) and Team (Rs 499 per user per month). Pro is highlighted as "most popular" (anchor on Team), the annual plan is two months free (bundle and commitment), and the free tier has a cap that heavy users hit within weeks (value-based). Track free-to-paid conversion, downgrade rate and revenue per user, and test price points on new sign-ups only.

8.26 Exercises with model answers

Exercise 1 · K-factor

Users send 2 invites each; 25% convert. Seed = 5,000. Estimate total users after the loop exhausts. How would halving cycle time change things?

Model answer

K = 2 × 0.25 = 0.5 → total ≈ 5,000 ÷ (1 − 0.5) = **10,000**. Halving cycle time doesn't change the eventual total when K < 1, but you reach it twice as fast — which matters for compounding with other channels and for time-bound goals.

Exercise 2 · NRR and quick ratio

Start MRR $200k; new $30k; expansion $20k; contraction $10k; churn $14k; reactivation $4k. Compute NRR, GRR, quick ratio.

Model answer

NRR = (200 + 20 − 10 − 14) ÷ 200 = 196 ÷ 200 = **98%**. GRR = (200 − 10 − 14) ÷ 200 = **88%**. Quick ratio = (30 + 20 + 4) ÷ (14 + 10) = 54 ÷ 24 = **2.25**. Growth relies on new logos; existing customers shrink slightly — focus on churn reasons and expansion paths.

Exercise 3 · Launch plan

Draft a one-page launch plan for “early fee display” (Tier 2).

Model answer outline

Objective: +2 pts checkout completion, complaints ≤ 1.3%. Audience: all app users (A/B 50/50, then ramp). Readiness: flag, events validated, help article, support macros, fee-service fallback tested. Rollout: 1% internal → 5% canary → A/B 14 days → 100% with 5% holdout. Comms: in-app tooltip; no press. Monitoring: completion, payment errors, complaints daily. Rollback owner: Eng lead. Retro: 3 weeks after ramp.

8.27 Interview perspective

"How would you grow a product's revenue by 20%?" — structure

Decompose revenue: users × conversion × ARPPU (or orders × AOV × take rate). Find the biggest, most fixable lever with data (funnel, cohorts, segments). Generate options per lever (acquisition, activation, retention, pricing/packaging, upsell/cross-sell). Prioritise by impact, confidence, effort and risk. Set metrics and guardrails (refunds, complaints, churn). Sequence experiments. Mention unit economics: growth that loses money per unit is not success.

"Our churn went up. What do you do?" — 60-second answer

"First, confirm it's real and which churn — voluntary or payment failures — and for which cohorts and plans. Payment-failure churn can often be cut quickly with smarter retries and reminders. For voluntary churn, I'd segment by reason using exit surveys and talk to recently churned customers, then check whether activation or a recent change explains it. I'd pick the biggest addressable reason, test a fix — product change, better onboarding, or a pause/downgrade option — and track churn by cohort plus guardrails like refunds and complaints."

8.28 Key takeaways

- Launch = one step in GTM; **tier** launches and **gate** rollouts with criteria and a kill switch.
- **Growth loops compound;** funnels don't. K-factor < 1 amplifies, not replaces, other channels.
- Compare channels on **quality and payback**, not volume.
- **PLG** depends on time-to-value and upgrade prompts at moments of value.
- Model **freemium economics** explicitly; free users cost money.
- Distinguish **voluntary vs involuntary churn**; track **NRR, GRR and quick ratio**.
- Monetise **fairly** — avoid dark patterns; watch refunds and trust.

8.29 Check your understanding

CHECK YOUR UNDERSTANDING

Users send 4 invites each and 5% convert. What is K?

A. 0.2

B. 0.8

C. 4.05

D. 20

Why: K = invites per user × conversion = 4 × 0.05 = 0.2.

NRR above 100% means...

A. No customers churned

B. Revenue from existing customers grew after expansion, contraction and churn

C. New customers grew fast

D. Prices were raised

Why: NRR measures revenue from the starting cohort including expansion, contraction and churn; it excludes new customers.

Which is involuntary churn?

A. Customer switches to a competitor

B. Card expires and renewal payment fails

C. Customer finds it too expensive

D. Customer no longer needs it

Why: Involuntary churn comes from payment failures rather than a choice to leave.

A staged rollout primarily helps you...

A. Avoid measuring results

B. Limit blast radius and check guardrails before full exposure

C. Skip QA

D. Run a price test

Why: Gradual exposure with gates and a kill switch limits damage from unexpected problems.

In PLG, the best moment for an upgrade prompt is...

A. Immediately at sign-up

B. At a random time

C. When the user hits a limit after getting real value

D. Never

Why: Upgrade prompts convert best at moments of demonstrated value or need.

8.30 Recommended resources

- Reforge: Growth loops are the new funnels.
- OpenView: Product-led growth resources.
- Geoffrey Moore, *Crossing the Chasm* — overview (Wikipedia).
- Stripe: Reduce involuntary churn (Billing docs).
- Lenny's Newsletter — growth and pricing essays.